



## Business incubators

Often sponsored by nonprofit organizations, incubators tend to be longer term (one to five years) and cater for a variety of clients, many science-based.

**Start-up introduced to incubator**

**Start-up pays incubator % of equity in the business.** It may also pay rent to share part of the incubator's work space. In return, it receives a range of benefits.

### NEED TO KNOW

- **Incubator networks**  
Collaboration of incubation centers, research facilities, and science parks
- **Virtual business incubator**  
Online hothouse for start-ups



**33** months

the average time US start-ups spent in an incubator, during 1999–2002

